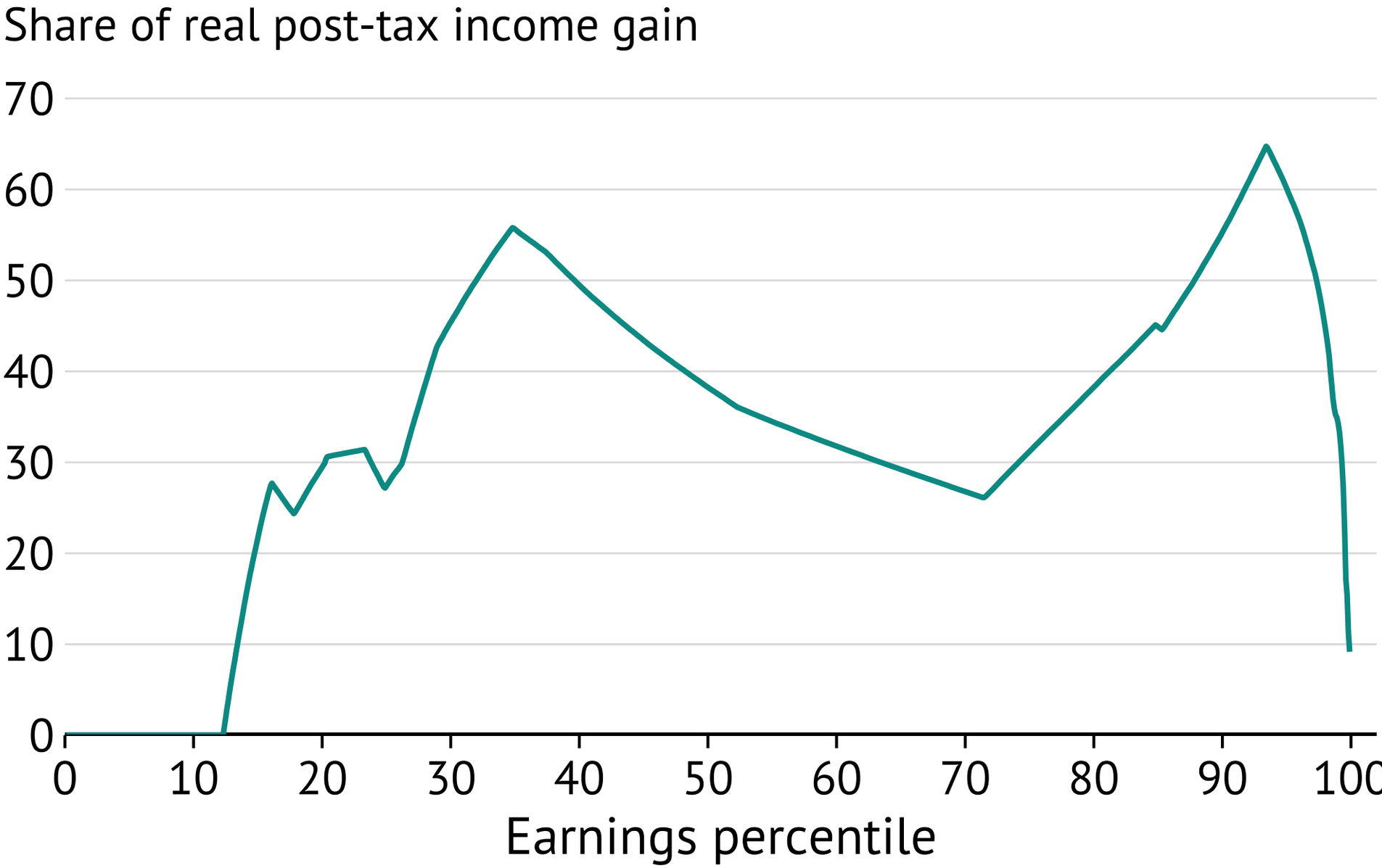
Disposable income gains lost to bracket creep



* Uses the 2022/23 file. Earnings are inflated to 2025/26 level and the 2025/26 nominal tax system is applied to establish the baseline.
** Assumes earnings growth of 3.7%pa, in line with PBO projections. The no-bracket-creep counterfactual indexes the full tax schedule by earnings growth, holding effective tax rates constant.
Sources: ATO Individual Sample file; e61